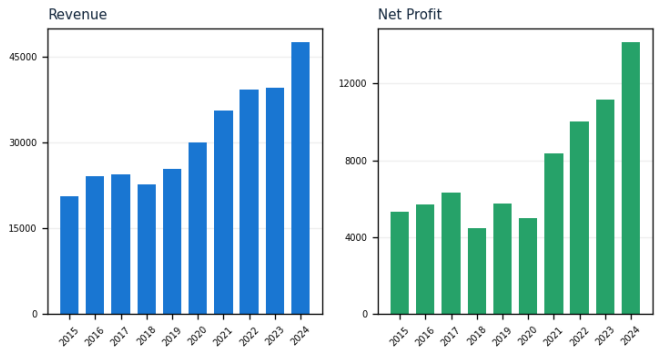
REC Ltd

RECLTD | Financials

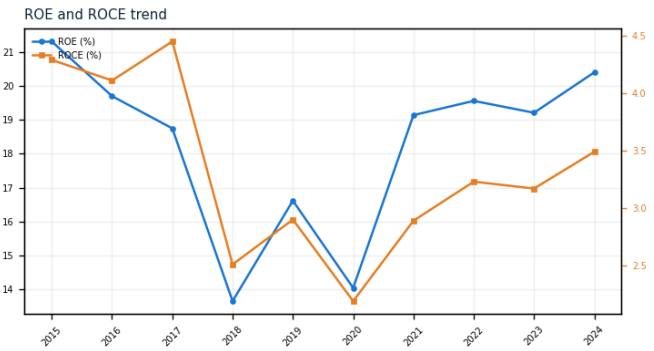
ROE	ROCE	Revenue CAGR (5Y)
20.40%	3.49%	13.34%

PAT CAGR (5Y)	Debt / Equity	Free Cash Flow
19.76%	6.42x	-59,554.00 Cr

Revenue & net profit (10Y)



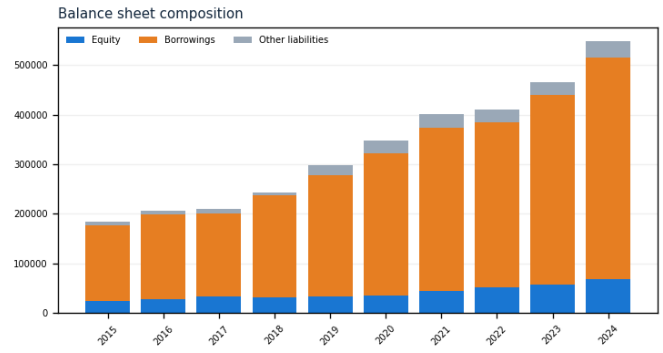
Returns (dual-axis)



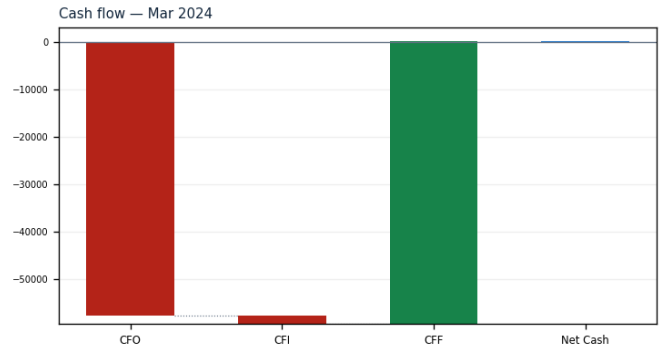
REC Ltd

RECLTD | Financials

Balance sheet



Cash flow waterfall



PROS

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

CONS

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation | Growth Funded by Debt